

A photograph of a modern, multi-story building with a mix of concrete, yellow, and grey panels. A large yellow sunburst logo is on the right side. The building is surrounded by a landscaped area with rocks and small plants. A red semi-transparent overlay covers the left side of the image, containing white text.

# SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

\$120,000,000

ELECTION OF 2024  
GENERAL  
OBLIGATION  
BONDS, SERIES  
2025A

POST SALE  
SUMMARY

AUGUST 18, 2025

# EXECUTIVE SUMMARY

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- On July 22<sup>nd</sup>, District sold \$120 million of general obligation bonds (“GO bonds”) from its Measure SW authorization
  - Transaction closed on August 5<sup>th</sup>
- Election of 2024, General Obligation Bonds, Series 2025A (“Series 2025A GO Bonds”) are inaugural issuance under Measure SW authorization
  - Series 2025A bond proceeds to finance upgrades, repairs and construct capital projects as outlined in District’s Facilities Vision Plan, including:
    - Gateway Building
    - César E. Chávez Reconstruction
    - Studio Arts Complex
    - Middle College High School
    - Auto Technology
  - Following issuance of Series 2025A GO Bonds, \$680 million of remaining authorization
- Highlights of Series 2025A GO Bonds sale include:
  - Affirming District’s “Aa2” rating from Moody’s
  - Strong investor reception with overall transaction receiving 5.8x more orders than bonds to sell
    - All bonds were placed with investors (no unsold balances)
    - Participation from both retail and institutional investors
  - Series 2025A GO Bonds borrowing cost: 4.78%<sup>1</sup>

# 2024 MEASURE SW

- On November 5, 2024, District's constituents authorized Measure SW
  - Authorization amount: \$800 million
  - Maximum tax levy: \$25 per \$100,000 of assessed value ("AV")
  - Earned endorsement from San Diego County Taxpayers Association
  - Strict accountability requirements including citizens' oversight and annual audits
- On June 16, 2025, updated Facilities Vision Plan presented and approved by the Board
  - Key planning tool to inform the prioritization and scheduling of construction and financing of Measure SW projects
- Series 2025A GO Bonds are inaugural issuance under Measure SW authorization
  - Remaining authorization: \$680 million

## MEASURE SW BALLOT LANGUAGE:

### ***SOUTHWESTERN COLLEGE CAREER EDUCATION, REPAIR, AFFORDABLE HIGHER EDUCATION MEASURE.***

To upgrade job training, vocational classrooms, labs/technology to help train local nurses, firefighters/ paramedics; prepare students/veterans for jobs/university; repair deteriorating roofs, gas/sewer lines; remove lead pipes/asbestos; shall Southwestern Community College District issue \$800,000,000 in bonds at legal rates, levy on average \$25 per \$100,000 of assessed valuation, generating \$51,100,000 annually while bonds are outstanding, requiring audits, public spending disclosure, all funds staying local, be adopted?

## MEASURE SW PRIORITIES:

- ✓ **AFFORDABLE HIGH-QUALITY EDUCATION & CAREER TRAINING FOR LOCAL RESIDENTS & VETERANS**
- ✓ **BASIC REPAIRS & UPGRADES NEEDED FOR STUDENT SAFETY**
- ✓ **ENHANCE & EXPAND VETERAN JOB TRAINING**
- ✓ **COLLEGE TRANSFER & ECONOMIC-WORKFORCE DEVELOPMENT**

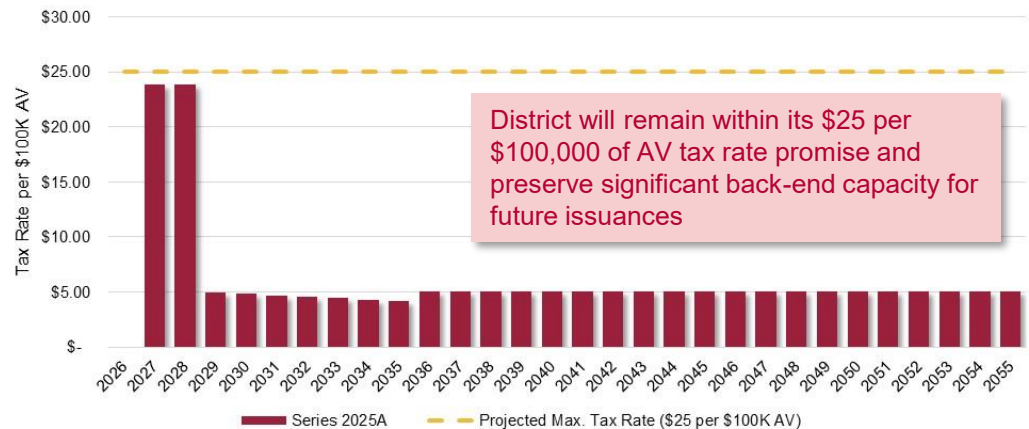
# SERIES 2025A GO BONDS ISSUANCE OVERVIEW

- Final pricing results compare favorably to estimates provided to Board in May
  - Original estimates based on \$100 million issuance; issuing additional par resulted in final net debt service exceeding initial projections
  - Final pricing results reflect notable reductions in borrowing costs and issuance expenses versus estimates
- Measure SW tax rate projected to remain below \$25 tax rate target
  - 2026-27 tax rate projected at \$23.87 per \$100,000 of AV<sup>3</sup>

## SERIES 2025A GO BONDS: FINAL PRICING RESULTS

|                                      | FINAL PRICING RESULTS<br>7/22/2025 | GOOD FAITH ESTIMATES <sup>1</sup><br>4/23/2025 | DIFFERENCE          |
|--------------------------------------|------------------------------------|------------------------------------------------|---------------------|
| Par Amount                           | 120,000,000                        | \$100,000,000                                  | \$20,000,000        |
| Building Fund Deposit                | 119,320,000                        |                                                |                     |
| <b>Financing Charges<sup>2</sup></b> | <b>\$680,000</b>                   | <b>\$706,000</b>                               | <b>-\$26,000</b>    |
| Tax Status                           | Tax-Exempt                         |                                                |                     |
| Final Maturity                       | Aug 01, 2055                       |                                                |                     |
| Call Date                            | Aug 01, 2035                       |                                                |                     |
| <b>True Interest Cost (T.I.C.)</b>   | <b>4.8%</b>                        | <b>5.2%</b>                                    | <b>-0.4%</b>        |
| All-In T.I.C.                        | 4.8%                               |                                                |                     |
| Total Debt Service                   | \$234,893,955                      |                                                |                     |
| <b>Net Total Debt Service</b>        | <b>\$228,235,390</b>               | <b>\$167,187,556</b>                           | <b>\$61,047,835</b> |

## PROJECTED MEASURE SW TAX RATE<sup>3</sup>



<sup>1</sup>As presented to the Board of Trustees at May 19, 2025, meeting (Resolution No. 2025-010).

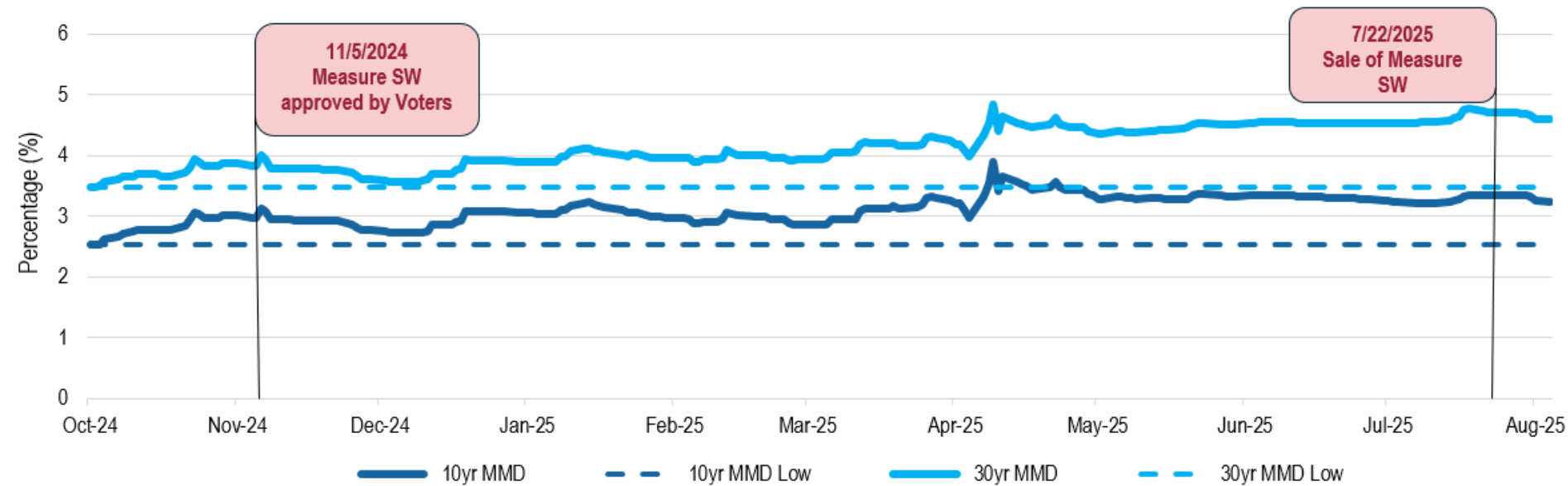
<sup>2</sup>Reflects all fees incurred including Cost of Issuance and Underwriter's Discount.

<sup>3</sup>Assumes annual future assessed value growth of 3.0%.

# INTEREST RATE ENVIRONMENT

## HISTORICAL INTEREST RATES<sup>1</sup>

(%) October 1st, 2024 to August 4th, 2025



### Historical Tax-Exempt Rates in Context

(%) October 1st, 2024 to August 4th, 2025

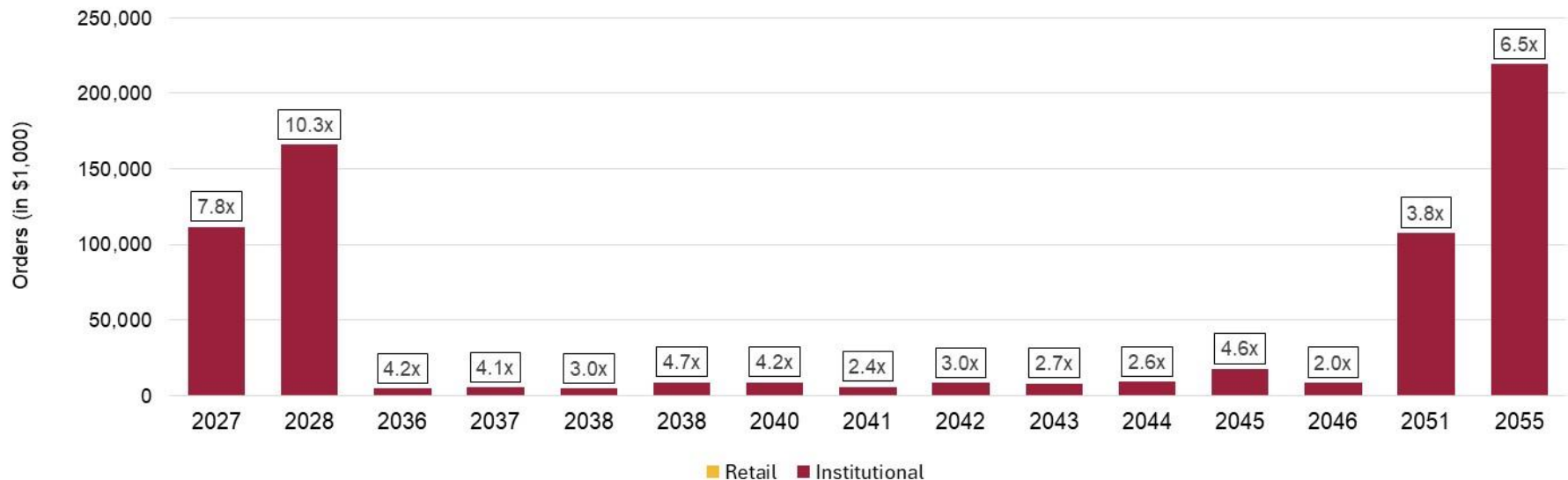
|                       | Election<br>(11/5/2024) | Pricing<br>(7/22/2025) | Min   | Max   |
|-----------------------|-------------------------|------------------------|-------|-------|
| 10yr Tax-Exempt Index | 2.97%                   | 3.34%                  | 2.54% | 3.89% |
| 30yr Tax-Exempt Index | 3.83%                   | 4.71%                  | 3.48% | 4.84% |

<sup>1</sup>Source: Refinitiv / TM3.

# ORDER SUMMARY: RESULTS

- Series 2025A GO Bonds received strong investor demand on day of pricing
  - For \$120 million of Series 2025A GO Bonds offered, investors placed \$693.6 million of orders, resulting in 5.8x subscription rate
- Strong subscription allowed for adjustments downward in borrowing costs on all maturities
  - Through proactive engagement ahead of the order period, KNN successfully secured an improved pricing structure for the District; helping position the transaction for additional adjustments once investor demand materialized
  - Following strong investor demand during order period, Raymond James and Ramirez underwriting syndicate responded with aggressive repricing proposal
    - Resulting in borrowing cost reductions of 0.01% to 0.10% across all maturities

## SERIES 2025A GO BONDS: ORDER SUMMARY



# ORDER SUMMARY: INVESTORS

- Total of 53 different investor accounts placed orders for Series 2025A GO Bonds

- Greatest participation among institutional investors; placed \$693.3 million in orders
- Retail investors placed total of \$255,000 in orders

- Series 2025A GO Bond sale attracted strong mix of repeat investors from District's prior bond offerings, as well as new institutional investors

- Highlights District's established presence in the market and investors' continued interest to deepen their existing holdings of the District's GO bonds
- New institutional participants further expand the universe of investors holding District's GO Bonds and lends additional liquidity to the name

## SERIES 2025A GO BONDS: INVESTOR DISTRIBUTION

